



Determinants of Saving Behavior Among Filipino University Students: A Psychological and Social Perspective

Abstract: The study investigates the psychological and social determinants of saving behavior among university students. The PLS-SEM examines how financial literacy, parental influence, peer impact, and self-control affect students' saving behavior. The observed significant variance suggests that the model effectively accounts for students' saving behavior. The study reveals that financial literacy had the greatest impact on savings behavior, demonstrating the importance of financial knowledge and awareness. Parental Influence positively and significantly affects saving behavior, suggesting the relevance of family socialization and practice modeling in teaching the children to save. Because Peer Influence is insignificant, the saving decision is likely family-driven rather than societal. Unexpectedly, self-control negatively affects saving behavior, challenging the conventional assumption and interplay of discipline and action. These findings support Katona's Theory and Life-Cycle Hypothesis that psychological and social factors affect student's early financial expectations and goals. Current study adds to youth financial behavior literature, offering evidence-based advice on raising financially responsible children.

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1.Introduction

Many university-students worldwide experience increasing financial pressure in a growing consumer-driven society. Despite the formal financial management education they receive, many students do not prioritize saving (Fiergbor, 2020). Previous literature posited the increasing financial challenges the students are experiencing, such as rising student expenses, unstable employment opportunities, and temptations to shop online (Thapa & Jha, 2022). Because young adults are navigating modern financial distress, saving is no longer a moral and cultural value but a perceived luxury rather than a necessity.

Globally, students' saving behavior is becoming complex. For instance, while financial education in school helps students recognize the importance of saving, the global savings rate among young adults is constantly low (OECD, 2020; Lusardi & Mitchell, 2014). Expanding consumer and social technologies, and the broad display of products, cause disparity between financial education and saving practices, intensifying materialism among the younger generation and obstructing a saving-oriented mindset (Sohn et al., 2012).



However, a recent survey ([Visa.com, 2025](#)) revealed that Gen Z is becoming more intentional about saving, such as allocating a portion of their allowances to savings, or their intention to save is driven by financial goal setting and the increasing cost of living.

Literature shows diverse saving behavior based on cultural and economic context. For instance, a recent study ([CivicScience, 2025](#)) revealed limited financial literacy in Indonesia, and the pandemic-induced financial downturn persisted, leading to saving challenges. Further, Methri (2025) and Duque (2024) claimed that Gen Zs in Europe and Latin America are more budget-conscious by practicing cost-saving strategies like trading down and using second platforms. In North America and Africa, reservations about saving are due to financial constraints and insufficient financial education (Atran, 2025; Mikhael, 2023).

In the Philippines, university students struggle to save due to financial stressors like relying on limited allowances or part-time jobs to pay off tuition fees, daily expenses, and transportation, leaving nothing to save. This observation is becoming complicated due to social pressures and a lack of financial education, especially among vulnerable students. BSP Media Research (2022) affirmed that only 25% of Filipinos demonstrate a basic understanding of financial concepts ([Desello et al., 2023](#)). This insufficiency results in poor financial decision-making ([Marquez et al., 2023](#)).

Despite rich studies about the saving behavior of the younger generation, few have examined students' saving behavior in the context of a Filipino university. There is a gap in understanding the psychological and social factors contributing to intentional saving behavior, such as financial literacy, parental influence, peer influence, and self-control. Thus, this study aims to investigate the saving

behavior of university students using PLS-SEM to determine the extent of the effect of these factors in influencing the ability and the willingness to save. By addressing this gap, the current study provides insight to help policymakers, the government, and other organizations develop interventions to promote responsible saving habits among Filipino youth.

2.Literature Review

University students are individuals, typically falling in the age range of 18 to 24, who pursue undergraduate or graduate degrees. This group encompasses a diverse population with different educational backgrounds, goals, and motivations ([Singh et al., 2020](#)). Access to financial services, exposure to economic challenges, and financial literacy shape the saving behavior of university students ([Cainglet et al., 2022](#)). In a study conducted among students at the University of the Philippines Visayas (UPV), Cainglet et al. (2022) found that male students save regularly. However, female students showed stronger financial planning behaviors. Males' intentional saving is the effect of the financial hardships brought by the COVID-19 pandemic on personal budgets and household income.

2.1. Conceptual Framework

2.1.2. Saving Behavior

Saving behavior refers to the behaviors and practices individuals develop to set aside a portion of their money for future needs and goals. Such habits are crucial in personal financial management as they promote financial security and enable the achievement of both short-term and long-term objectives, such as large purchases, emergency expenses, and retirement savings. Polinar et al. (2022) surveyed business administration students in a state college in Dumaguete City, Philippines, about their financial challenges with saving, asserting that they need money to buy mobile data for online classes and supplement their



school allowance. Aznar and Casilagan (2022) found that college students in Davao Occidental intended to save for emergencies and used piggy banks to store their parents' savings. Few respondents from the study deposited their savings in a bank account, and a lack of money posed a challenge to saving. Jain and Seghal (2023) discovered that Delhi University students' families encourage saving and choose banks. In a study on the saving determinants of Malaysian college students, Jamal et al. (2016) found four critical determinants in saving behavior among individuals: (1) self-control, (2) peer influence, (3) family influence, and (4) financial literacy. Jamal et al. found that individuals with higher perceived self-control exhibit better saving behavior. Self-control helps people avoid impulsive spending that can lead to credit and money management issues, peer financial activities, and family bonding that introduces money through acts and displays, influencing students' financial behavior. Finally, financial literacy had the most significant impact on saving behavior, supporting earlier findings and emphasizing the relevance of financial education in the curriculum.

2.1.2. Financial Literacy

According to Fernando (2024), Financial literacy refers to the capacity to comprehend and utilize efficient financial skills such as investing, budgeting, and personal financial management. Financial literacy constitutes numerous skills and knowledge vital for efficient money management. It involves learning financial concepts such as investment strategies, compound interest, and risk management, and formulating the habits and attitudes necessary for making smart economic decisions (OECD, 2014). Financial literacy motivates and drives financial behavior. Financial literacy is crucial to preventing poverty and debt because people without financial information are likelier to fall into them. Additionally, Angela and Pamungkas

(2022) found that financial literacy improves saving behavior.

According to Johan et al. (2020), research of Indonesian university students' financial knowledge, attitudes, and behavior found that finance education influences financial knowledge but not attitudes or conduct. The study also found that families play a crucial role in the development of these three factors, noting that children born to families who are willing to discuss finances have higher financial capability than those who are not, and that informal learning may be more important than formal schooling in establishing financial capability.

Huang et al. (2023) also found that while finance training programs have increased financial literacy, certain studies have found a gap between intent to engage and actual financial behavior. A Philippine study by Cipriano and Delgado (2024) found that young people cannot budget and fail to prepare for other financial obligations. While graduating students showed strong saving and spending habits, Delgado stressed the importance of family, environment, and situations on financial literacy.

According to Cainglet et al. (2022) and the OECD, young adults have the lowest financial literacy. Apart from their capacity for selecting appropriate money products, they lack the determination to plan for such finances as budgeting allowances, prioritizing school expenses, etc. Additionally, according to Desello and Agner (2023), financial literacy strongly and directly affects account ownership. This notion means that the more financial literacy a person has, the greater the probability of using different financial tools. The study of Widjaja et al. (2020) stated that financial literacy is essential in shaping saving behavior. A positive relationship exists between saving behavior and financial literacy



when our knowledge and ability to control financial statements increase.

Furthermore, the study of Uy et al. (2024) shows that financial literacy influences the saving behavior of Generations X and Y. Since these generations are employed professionals, financial literacy helps them save for investment. Generation Z lacks financial awareness and does not save. This notion argues that basic education should include financial literacy programs or that universities and schools might offer lectures on saving and financial literacy.

2.1.3. Peer Influence

Peer influence refers to the phenomenon in which an individual impacts or is impacted by one or more members of a comparable group (Laursen & Veenstra, 2021). This influence is not discriminant on backgrounds and positions. According to a study by Cho et al., (2024), even early-tenure CEOs who have yet to accumulate firm-specific knowledge and experiences rely on peer firms for investment decisions. Hartono and Isbanah (2022) posited that people with deep ties with their peers and family influence their perspectives, behaviors, and beliefs based on their peers' choices and preferences. Thus, students living far from home may depend on peers who can help manage their spending and savings.

One of the significant causes of peer effects is observational social learning, where individuals alter their financial choices based on their peers' decisions. Robust socializing with peers substantially influences their saving behaviors. For instance, social standards like saving might influence human conduct (Bingham, 2023). Many individuals are influenced by the financial attitudes and habits of their peers, family, and social circles. Hartono and Isbanah (2022) asserts that peer pressure can influence individuals' saving habits, given that peer influence directly affects their behavior. The fear of missing out (FOMO) can lead individuals to do things beyond their

means to keep up with social expectations. According to Komalsari (2023), peers predict an individual's saving behavior, so people should choose friends who can handle their finances and encourage them to improve their finances.

2.1.4. Parental Influence

Family interactions and relationships play a fundamental role in shaping an individual's saving behavior during childhood and adolescence, when financial habits are formed. Jamal et al. (2015) assert that the family is the primary agent in forming financial socialization, significantly influencing students' attitudes towards savings. Children observe and follow their parents' financial practices, making modelling a powerful mechanism in transferring sound financial behaviors to them (Hartono & Isbanah, 2022). When parents practice sound financial management like budgeting, regular savings, and responsible borrowing, children internalize these behaviors. Ali and Marwat (2021) emphasizes the importance of financial sociability over financial resources, stressing that when parents foster an open communication about financial or money management, children adopt saving habits before formal education begins. Similarly, Gonzales (2024) asserts that parents' support is the most persuasive factor influencing a student's savings behavior. This notion suggests that when parents exert high involvement and communication with their children, it results in positive savings habits. This assertion supports a broader claim that parent-children communication about financial matters increases financial literacy. This assertion is echoed by the findings in Financial Knowledge and Decision-making skills (n.d.), which suggest that financial education from formal instruction may not be sufficient but becomes relevant when practiced and applied at home. From this perspective, the parents' experiences in managing finances, manifested in their lifestyle, have a greater impact on the



students. Gramatica (2024) posited that a parent's influence on the savings behavior of the children could foster lifelong financial behavior. Moreover, Centeno et al. (2024) claim that when family members have a bank account, it is likely to encourage other family members to open and use a bank account. This practice highlights behavioral modeling through shared habits.

However, while the literature recognizes the positive impact of parental influence on children's savings behavior, some studies have revealed different findings. For instance, Angelia et al. (2018) posited that while parents may not directly influence the decision of the children to save, they may shape underlying financial behavior, such as financial discipline and budgeting. Similarly, Angela and Pamungkas (2022) argued that while parents contribute to the development of positive future orientation, peer interaction has a more profound impact on the savings behavior of the student. The authors explained that shared spending and savings habits, social interaction, and normative behavior could impact students directly and indirectly.

2.1.5. Self-Control

Self-control is defined as the ability of an individual to regulate impulsive action and delay gratification. Self-control is an important aspect that promotes responsible savings behavior. Previous literature claims that a person's inability to exhibit restraint when in the middle of a buying temptation may result in overspending that undermines saving practices (Manfrè, 2017). Some authors claim that when people lack self-control, they are easily enticed with impulsive action, resulting in long-term financial well-being, less income accumulation, and limited capacity for financial planning (Barrafrem et al., 2024).

In this context, Suryantari and Gayatri (2022) assert that self-control is crucial in achieving financial goals. Self-control will enable

individuals to focus on long-term goals and resist impulsive spending. Similarly, Ling(2021) claims a positive and significant relationship between self-restraint and self-control, indicating that even if a person knows how to save, a psychological effort to overcome impulsive decisions could deter the habit of spending. Lupikawaty et al. (2024) asserted that individuals with high self-control will likely engage in long-term planning and be consistent with their savings goals. These self-controlled individuals manifest a clear and organized financial plan and are firm in managing their finances.

A diverse perspective contends that self-control is important in saving behavior. For instance, Ali and Marwat (2021) argued that self-control is the least influential factor affecting saving behavior. This factor is compared to financial literacy, parental socialization, and peer influence. Christianito & Asandimitra (2023) contend that income level and financial awareness may override self-discipline and self-control. The argument implies that while self-control is imperative in financial decisions, its effect may be less when there is no stable income or access to financial tools. Furthermore, Tumataroa and O'Hare (2020) argue that self-control is heightened when there is financial counseling. This notion suggests that mentorship and financial advice, particularly among low-income individuals, can help improve financial management skills, reinforcing savings behavior; thus, self-control may not be entirely the reason for a sound savings habit.

Meanwhile, a developmental perspective explains that the younger generation may exhibit lower self-control, resulting in low savings behavior (Hartono & Isbanah, 2022). This assertion validates that early financial socialization and training in self-regulation during adolescence can help develop the savings habit.

2.2 Theoretical Framework

The current study is grounded in two theoretical perspectives, Katona's Theory of Saving and the Life-Cycle Hypothesis (LCH). These theories support the contextualization of the Behavioral and Economic Dimensions of savings behavior among students, providing a comprehensive explanation of the underlying reasons for the students' saving behavior.

2.2.1 Katona's Theory of Saving

Katona's Theory of Savings is a behavioral economics concept that elucidates the individual's decision to save or spend, which is influenced by the capacity to save and the willingness to save (Fisher & Anong, 2012). The individuals' disposable income determines their ability to save. In contrast, the willingness to save is determined by the psychological, attitudinal, and social factors like financial expectations, motivations, and subjective perceptions of achieving financial well-being. Unlike the conventional models that exhibit the rational agents that optimize utility, this theory underscores the cognitive factors like financial attitude, self-control, and social influence that determine saving behavior (Otto, 2013). The Katona Theory explains the relevance of psychosocial effects among the younger generation over stable income flows. This notion explains why students may not prioritize savings, not because of income constraints, but more on psychosocial dynamics rationalized by parental influence and peer norms.

2.2.2 Life-Cycle Hypothesis (LCH)

The Life-cycle Theory was developed by Modigliani and Brumberg cited by Martini & Spataro (2024), who offer a conventional lens from Katona's theory, highlighting the economic rationale that explains the saving behavior of an individual. Based on the context of LCH, individuals would seek to maximize lifetime utility by smoothing consumption

across different stages of life. According to Hayes (2024), this theory explains saving during the periods of high income (usually during periods of income-generating years) and non-saving during the period of low income (unemployment or retirement years). Based on this theory, saving is a forward-looking rational activity, rooted in financial planning and expectations. It is argued then that an individual saves to increase wealth and preserve assets against unexpected emergencies or retirement needs. LCH explains the different stages by which an individual prioritizes savings, from the stage of regular income, where savings must be maximized, to the stage of low to no income, where the individual can utilize his savings.

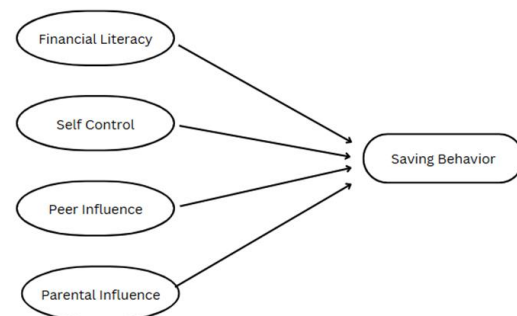


Figure 1. Determinants of Savings Behavior

Fig. 1 illustrates the determinants of Saving Behavior (SB) among university students, including Financial Literacy (FL), Self-control (SC), Peer Influence (PeI), and Parental Influence (PaI). Previous research has investigated these variables. The following arguments were raised based on the conceptual framework:

H1: University students with higher financial literacy are more likely to engage in disciplined saving behavior.

H2: Parental influence plays a pivotal role in shaping the saving habits of university students.

H3: Peers significantly influence the saving behavior of university students.

H4: Self-control significantly predicts saving behavior among university students.



3. Methodology

3.1 Research Design

This current study employed a quantitative, explanatory research design to examine the impact of Financial Literacy, Self-Control, Peer Influence, and Parental Influence on Savings Behavior of university students in the Philippines. The use of PLS-SEM is deemed appropriate in terms of the model framework, the inclusion of the latent constructs, and the achievement of the predictive objective of the study (Hair et al., 2021).

3.2 Participants and Sampling Technique

The current study was conducted by 377 university students aged between 18 and 25 from private and public universities across different regions in the Philippines. The researchers utilize non-probability purposive sampling techniques, focusing on enrolled students managing their personal allowances or income sources.

3.3 Research Instrument and Collection Procedure

The Researcher employed a structured, closed-ended questionnaire based on an extensive review of related literature and validated scales, consisting of the following components: The Financial Literacy scale is a six-point Likert scale that assesses Financial Knowledge, Financial Behavior, and Financial Attitude. It also includes a six-point Likert scale for Self-Control, which evaluates impulsivity, planning, and spending restraint. The Peer Influence scale is a six-point Likert scale that measures friends' influences, practices, and norms. The Parental Influence scale is a six-point Likert scale that includes practices, modeling, and family expectations. Finally, the Saving Behavior scale is a six-point Likert scale that assesses the students' saving practices and behavior.

The researchers administered an online survey through Google Forms and an in-person survey to selected universities. QR Codes were provided for easy access to the survey. All responses were anonymous to preserve confidentiality, and a Google Drive will secure the data and dispose of it after the research completion.

3.4 Data Analysis

After data collection, the researchers filter the responses to ensure the completeness of the answers and eliminate outliers that may distort the results. Descriptive statistics were conducted for the Mean, Standard Deviation, and Skewness. The study employed Partial Least Squares Structural Equation Modeling (PLS-SEM) to examine and test the hypothesized model. The researchers use this tool for complex models, multiple latent variables, non-normal data, and predictive objectives. First, the researchers conducted the Measurement Model Assessment to determine the Reliability (Cronbach's Alpha and Composite Reliability), Convergent Validity (AVE), and Discriminant Validity (HTMT) to ensure the accuracy and reliability of the instrument. Second, the researchers conducted a Structural Model Assessment to determine the Path Coefficients (β), t-values, p-values, R Squared, and Effect Size.

Ethical Consideration. This research study has passed the Ethics Review and was issued an Ethics Review Certification.

4. Results

Table 1. Model Fit Indices

Model Fit	Estimate
Comparative Fit Index (CFI)	0.965
Tucker-Lewis Index (TLI)	0.962
Bentler-Bonett Normed Fit Index (NFI)	0.959
Additional fit indices	
Goodness of Fit Index (GFI)	0.9754
Adjusted Goodness of Fit Index (AGFI)	0.9641



Table 1 presents the different model fit indices used to determine whether the data gathered fit the statistical model applied. The Comparative Fit Index (CFI = 0.965), Tucker-Lewis Index (TLI = 0.962), and Bentler-Bonett Normed Fit Index (NFI = 0.959) all indicate a good fit between the model and data with indices above the

generally recognized cutoff of 0.90. In addition, the Goodness of Fit Index (GFI = 0.9754) and Adjusted Goodness of Fit Index (AGFI = 0.9641) are above the 0.90 standard, further confirming the model's robustness. These results suggest that the model is well-specified and accurately represents the observed data.

Table 2. Measurement Model

					95% Confidence Intervals			
	Latent	Observed	Estimate	SE	Lower	Upper	β	p
	Financial Literacy	FK	1.000	0.000	1.000	1.000	0.630	
		FB	0.984	0.058	0.870	1.098	0.769	< .001
		FA	1.039	0.079	0.885	1.194	0.827	< .001
	Parental Influence	PaI1	1.000	0.000	1.000	1.000	0.803	
		PaI2	0.902	0.031	0.840	0.963	0.724	< .001
		PaI3	1.023	0.032	0.960	1.087	0.821	< .001
		PaI4	1.084	0.030	1.024	1.143	0.870	< .001
		PaI5	0.880	0.032	0.818	0.942	0.706	< .001
		PaI6	1.073	0.028	1.019	1.126	0.861	< .001
		PaI7	1.081	0.027	1.029	1.133	0.868	< .001
	Peer Influence	PeI1	1.000	0.000	1.000	1.000	0.865	
		PeI2	0.967	0.029	0.909	1.024	0.836	< .001
		PeI3	0.696	0.039	0.619	0.773	0.602	< .001
		PeI4	0.876	0.033	0.812	0.940	0.758	< .001
		PeI5	0.994	0.029	0.938	1.050	0.859	< .001
	Self-Control	SC1	1.000	0.000	1.000	1.000	0.782	
		SC2	1.006	0.029	0.949	1.064	0.787	< .001
		SC3	1.105	0.028	1.051	1.159	0.864	< .001
		SC4	1.126	0.029	1.070	1.182	0.880	< .001
		SC5	1.127	0.028	1.072	1.182	0.881	< .001
		SC6	1.163	0.028	1.109	1.217	0.909	< .001
		SC7	1.136	0.028	1.081	1.191	0.888	< .001
		SC9	0.870	0.034	0.803	0.937	0.680	< .001
	Saving Behavior	SB1	1.000	0.000	1.000	1.000	0.875	
		SB2	1.024	0.022	0.980	1.068	0.896	< .001
		SB3	0.918	0.024	0.870	0.965	0.803	< .001
		SB4	0.954	0.022	0.911	0.996	0.835	< .001
		SB5	0.849	0.027	0.797	0.902	0.744	< .001
		SB6	0.799	0.033	0.734	0.864	0.699	< .001
		SB7	0.876	0.029	0.820	0.932	0.767	< .001



Table 2 shows the measuring model to determine if the study instrument's questions or indicators accurately and reliably measure Financial Literacy, Parental Influence, Peer Influence, Self-Control, and Saving Behavior. At $p < .001$, all factor loadings (β) show significant connections between latent variables and indicators, indicating strong relationships and an unlikely chance.

A significant correlation exists between Financial Literacy and Financial Knowledge (FK), Financial Behavior (FB), and Financial Attitudes (FA), with Financial Attitudes having the highest standardized loading ($\beta = .827$). The seven indices of parental influence had high factor loadings from 0.706 to 0.870, indicating the most significant correlation. The most strongly correlated factor with parental influence is Pal4 (beta = .870): "I often ask my parents for guidance on managing my money effectively". Five questions examined peer influence with loadings from 0.602 to 0.86, all still adequate but demonstrating slight fluctuation, indicating that the indicators are reliable, but some are greater than others. Pe11 "I find it easy to save" ($\beta = .865$) had the strongest correlation with Peer Influence. Nine markers of self-control with loadings between .680 and .909 are reliable. SC6 "I am readily attracted by lure/temptations" ($\beta = .909$) exhibits a substantial correlation with Self-Control. Seven indicators of saving behavior have factor loadings from 0.699 to 0.896 and high standardized loadings, making them well-defined. SB2, "I save money for my future needs" ($\beta = .896$), is the strongest indication of Saving Behavior.

Small standard errors and tight confidence intervals across all indicators enhance estimate precision and stability. Strong reliability and validity make the measurement a valuable model for structural analysis.

Table 3. Reliability Measures

Variable	α	ω	AVE
Financial Literacy	0.796	0.773	0.531
Parental Influence	0.888	0.910	0.656
Peer Influence	0.846	0.861	0.624
Self-Control	0.934	0.938	0.701
Saving Behavior	0.867	0.904	0.649

Table 3 shows the reliability and validity of Financial Literacy, Parental Influence, Peer Influence, Self-Control, and Saving Behavior. Cronbach's Alpha and McDonald's Omega measure reliability. Cronbach's Alpha (α) scores for all constructions exceed the 0.70 threshold, ranging from 0.796 to 0.934, indicating scale item consistency. All constructions have McDonald's Omega (ω) values over 0.77, ranging from 0.773 to 0.938, indicating strong dependability when item loadings differ. The Average Variance Extracted (AVE) measures convergent validity by determining if a construct explains enough item variance. Any AVE value above 0.50 is acceptable. Self-control has the strongest convergent validity with an AVE = 0.701, while financial literacy has the lowest, but it is still acceptable at AVE = 0.531. These measurements indicate that the structures are reliable, that the things fit well, and that the items measure as intended. Reliability and validity justify using these constructs for hypothesis testing and analysis.

Table 4. Heterotrait-Monotrait (HTMT) Ratio of Correlation

	Financial Literacy	Parental Influence	Peer Influence	Self-Control	Saving habit
Financial Literacy	1				
Parental Influence	0.337	1			

Peer Influence	0.457	0.505	1		
Self-Control	0.082	0.150	0.243	1	
Saving habit	0.780	0.475	0.379	0.210	1

Table 4 shows the Heterotrait-Monotrait (HTMT) correlation ratio, which reveals construct discriminant validity. The discriminant validity of a test or measure shows that different constructs are separate and independent. The Heterotrait-Monotrait (HTMT) ratio compares average correlations between items of distinct constructs (Heterotrait) to those within the same construct (Monotrait) to assess discriminant validity. The

HTMT correlation ratios from the table are all smaller than 0.85, indicating discriminant validity and unique, uncorrelated constructs. Low to moderate correlations between constructs, such as Self-Control's limited link with other variables, suggest that each construct measures a unique concept. Thus, the constructs are statistically distinct, meeting discriminant validity criteria.

Table 5. Assessing the factors affecting saving behavior

					95% Confidence Intervals			β 95% Confidence Intervals			
	Dep	Pred	Estimate	SE	Lower	Upper	β	Lower	Upper	z	p
	Saving Behavior	Financial Literacy	0.912	0.085	0.746	1.078	0.684	0.61	0.758	10.780	< .001
	Saving Behavior	Parental Influence	0.311	0.043	0.227	0.395	0.284	0.21	0.359	7.290	< .001
	Saving Behavior	Peer Influence	-0.042	0.053	-0.145	0.061	-0.041	-0.14	0.060	-0.801	0.423
	Saving Behavior	Self-Control	-0.226	0.039	-0.303	-0.149	-0.201	-0.27	-0.13	-5.746	< .001

Table 5 shows Saving Behavior components from the structural equation model. Financial literacy, parental influence, and self-control affect saving to various degrees. Financial literacy ($\beta = 0.684$, $p < .001$) and parental influence ($\beta = 0.284$, $p < .001$) significantly correspond to better saving behavior. Low self-control ($\beta = -0.201$, $p < .001$) appears to impact saving behavior negatively but remains statistically significant. However, peer influence ($\beta = -0.041$, $p = 0.423$) did not significantly impact student saving behavior.

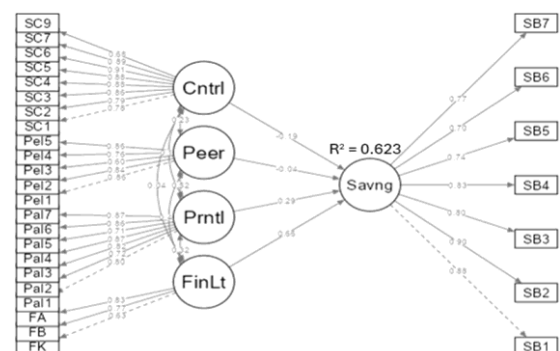


Figure 3. Structural equation model of factors affecting the saving behavior of Students
Structural Model Results

The researchers conduct PLS-SEM analysis to examine the impact of financial literacy, parental influence, peer influence, and self-control on the saving behavior of students. The model demonstrated a good explanatory power with 62.3% of the variance in saving



behavior ($R^2 = 0.623$) and was considered substantial in behavioral research (Hair et al., 2019).

Key Path Relationships

Financial Literacy $\rightarrow$ Saving Behavior ($\beta = 0.684, p < .001$). With the highest effect, financial literacy exhibits the most significant predictor of saving behavior. The result suggests that an individual with high Financial Literacy will likely save more. The result accepted the argument(H1) that University students with higher financial literacy are more likely to engage in disciplined saving behavior.

Parental Influence $\rightarrow$ Saving Behavior ($\beta = 0.284, p < .001$). Parental influence exhibits a significant positive effect on saving behavior. The result suggests that the influence of the parents contributes to healthy saving habits and the right perspective of the students about financial management. The result accepted the argument (H2) that Parental influence plays a pivotal role in shaping the saving habits of university students.

Peer Influence $\rightarrow$ Saving Behavior ($\beta = -0.041, p = .423$). Peer influence is not a significant predictor of saving behavior. The non-significant path suggests that peer relationships do not substantially affect students' save habits. The result rejects the argument(H3) that peers significantly influence the saving behavior of university students.

Self-Control $\rightarrow$ Saving Behavior ($\beta = -0.201, p < .001$). Self-control has had a significant negative effect on saving behavior. The result suggests a counterintuitive result where an expectation of a positive, significant effect is not present. Financial literacy could suppress the result. The result rejects the argument (H4) that Self-control significantly predicts saving behavior among university students.

5. Discussion

The current study presents valuable insights into the factors that influence the saving behavior of students in the Philippines, exploring the PLS-SEM approach. The results reveal a strong explanatory power of 62.3% variance in Saving Behavior. The result affirms a robust theoretical model and the important role of psychological and social constructs.

5.1 Financial Literacy on Saving Behavior

Financial Literacy emerged as the most significant predictor of Saving Behavior, suggesting the pivotal role of financial knowledge, behavior, and attitude in shaping a student's saving habit. The result is supported by Desello and Agner (2023), asserting that when an individual is equipped with financial knowledge, they are more likely to be prudent and cautious with their finances. This practice includes financial planning, expense tracking, intentional saving, and other financial tools. Furthermore, Widjaja et al. (2020) affirmed a strong correlation between Financial Literacy and Saving Behavior, stressing the significance of financial knowledge, which can help develop students' ability to control their finances. Similarly, Uy et al. (2024) claim financial literacy substantially impacts saving behavior, particularly among Gen Zs.

However, the result contradicts the findings of Johan et al. (2020) and Huang et al. (2023), arguing that Financial Literacy does not always influence saving behavior, suggesting that financial knowledge may develop skills. However, the intention and practice are a decision of its own and cannot be directly attributed to Financial Literacy. Huang et al. (2023) argue that there is a gap between financial literacy and the intention to engage in practice. Cipriano and Delgado (2024) validates this assertion, arguing the lack of skill in budgeting and monitoring finances among young adults. Despite the contradictions, the result powerfully reveals the statistical evidence that supports the crucial and direct



impact of Financial Literacy on saving behavior among students.

5.2 Parental Influence and Saving Behavior

The result of the study revealed a significant effect of Parental Influence on the saving behavior of the students. The result is aligned with the findings of Jamal et al. (2015) that parents serve as the primary agent who teaches students about finance and savings. The results suggest that the parents' financial behavior modeled and practiced is internalized by the children and followed through until adulthood (Hartono & Isbanah, 2022). This assertion collaborates with Centeno et al. (2024), arguing that financially engaged parents, particularly banked parents, correlate positively with the children's financial behavior, fostering an indirect transmission of financial practices and sound financial decisions.

In contrast, Angelia et al. (2018) and Putriana et al. (2024) contend that the significant effect of parents or family on the saving decision suggests that savings is a child's personal decision and parents do not directly influence it. They may observe financial decisions and budgeting but implementing them may differ. Similarly, Angela and Pamungkas (2022) argued that peers have a higher influence on the saving behavior of the student than parents due to peer socialization and constant interaction.

5.3 Peer Influence and Saving Behavior

The result found a non-significant effect of peer influence on the students' saving behavior. The result contradicts the findings of Hartono and Isbanah (2022), asserting that the deep ties between the student and their peers can persuade their behavior and perspective towards savings. Hartono stresses that a person's desire to get into a group may open opportunities for others to get into their habits and practices. This notion collaborates with Bingham (2023), who argues that social

standards attributed to peer interaction may influence an individual's conduct. However, the current study considers stronger familial and cultural forces as the underlying reason for the non-significant influence of Peer. Moreover, saving is a decision of its own, a private thing that may sometimes be difficult to share, like an inability due to non-capacity to save. Students may value their parents' practices more than their peers, as spending may be of higher interest than saving.

5.4. Self-Control and Saving Behavior

The unexpected result of Self-control exhibiting a negative effect on saving behavior contradicts traditional theories and empirical studies of Manfrè (2017), Suryantari & Gayatri (2022), and Mpaata et al. (2021). Suryantari and Gayatri (2022), Ling(2021), and Lupikawaty et al. (2024) argue that a significant role of self-control in diverting spending into savings, stressing that a person with strong self-control can restrain from unnecessary and impulsive decisions and may focus more on financial planning and goals. However, Ali and Marwat (2021) claims that among the determinants of saving behavior, self-control is found to be the least influential as compared to Financial Literacy and Parental Socialization. Christianto and Asandimitra (2023) explain that income level and financial awareness may contribute to the lower impact of self-control. Hartono and Isbanah (2022) added that age generation could also be a factor, highlighting that younger generations have lower self-control than older generations.

However, the negative effect of self-control may be attributed to the suppression effect of financial literacy, where financial knowledge overcomes the habit with the knowledge and skills of planned spending, strategic investment, or self-rewarding consumption.

Theoretical Integration



The study results are meaningfully integrated and interpreted through Katona's Psychological Theory of Savings and the Life Cycle Hypothesis. Based on Katona's Theory, saving behavior is more of a psychological motive, like future planning, expectations, and socialization, and not merely by economic capacity. The influence of Financial Literacy and Parental Influence clearly explains the subjective knowledge and internalized norms that shape the students' intention to save. The substantial impact of Financial Literacy supports the concept of active saving, where individuals save in anticipation of future needs grounded on financial understanding and awareness rather than compulsion or impulsive decision. Likewise, the Life Cycle Hypothesis explains the two important saving considerations: capacity and intention. The study's results suggest that the students' life span represents the beginning of the accumulation stage. This stage-specific behavior reflects a higher need for financial literacy and parental guidance while anticipating future income and expenses. This notion supports the LCH core assumption that when equipped with financial knowledge and a sound behavioral support system at an early age, an individual can make sound financial decisions. The non-significant influence of peers supports the theoretical model, which explains that the saving behavior of the student is more personal and goal-oriented than social dependence on others. However, the negative effect of Self-Control complicates the theories. While Katona leans heavily on the psychological intention, self-control is suppressed by financial knowledge and awareness. This nuance may lead to a modern behavioral finance phenomenon that may challenge researchers for further study and exploration.

6. Conclusion

The current study aims to determine the impact of Financial Literacy, Parental Influence, Peer

Influence, and Self-Control through the lens of Katona Theory and Life-Cycle Hypothesis. The result of the study offers a meaningful theoretical contribution by providing a framework that explains the saving behavior of university students. Drawn from Katona's Psychological Theory of Savings and the Life Cycle Hypothesis, the results validate the non-economic factors that influence the saving behavior of the students. Financial Literacy, Parental Influence, and Self-Control play a significant role in fostering saving behavior among young adults. The strong predictive power of Financial Literacy deepens Katona's argument that psychological awareness motivates intentional saving. At the same time, the influence of parents aligns with the Life Cycle Hypothesis' perspective of early life financial socialization as the foundation for life-long financial planning and decision making. The unexpected effect of Self-Control suggests a need to explore the traditional behavioral assumptions, emphasizing the complexity of psychological effects on saving decisions. Therefore, the study concludes the significance of integrating cognitive, social, and behavioral dimensions into students' financial behavior.

Policy Implications and Recommendation

The following variable implication may help develop policy initiatives and programs.

Financial literacy for students enhances decision-making, budgeting, and goal setting. Policy may include integrating Financial Literacy into the curriculum, and government and LGUs may conduct workshops and launch national campaigns.

Parental influence implies that it provides early modeling and financial guidance. The government and other organizations may create family-based programs and intergenerational financial education.



The impact of Peer Influence may be less, but this opens an opportunity for peer learning. The government, policymakers, and other organizations may create peer clubs of financial advocates, learners, and mentors to foster financial awareness and engagement among peers.

Finally, Self-Control may not always lead to savings, but it can enhance the possible overconfidence effect. Researchers may consider it a behavioral nudge; future studies can validate the result.

Limitation of the Study

Lack of demographic data like age and gender in the survey instrument limits this study. The sample includes emerging adults who rely on parental allowance, but demographic controls may be needed to compare financial literacy, self-control, peer influence, and parental influence across demographic subgroups. As characteristics may vary by gender or developmental stage, future research should include demographic variables for more nuanced comparisons and more generalizability.

Declaration of Interest

The author(s) declared no potential conflicts of interest with respect to the research, authorship, and/or publication of this article

Declaration on the use of AI

The researchers use AI tools (Grammarly and Quillbot) to enhance sentence structure, grammar check, and punctuations.

Data availability statement

Raw data can be available upon request.

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